

AKD CAPITAL LIMITED

For the nine months ended 31 March 2018

COMPANY INFORMATION

Board of Directors

Mr. Aurangzeb Ali Naqvi
(Chairman)
Mr. Nessar Ahmed
(Chief Executive Officer)
Mr. Aamir Nazir Dhedhi
Mr. Muhammad Jamal Dhedhi
Mr. Muhammad Munir
Mr. Mohammad Sohail
Mr. Nadeem Saulat Siddiqui
Mrs. Mehrunnisa Siddiqui

Company Secretary

Asghar Ali Anjum

Auditors

Riaz Ahmad & Co.
Chartered Accountants

Share Registrar

C&K Management Associates
(Pvt) Limited

Bankers

MCB Bank Limited
United Bank Limited
Bank Al-Habib Limited

Registered Office

416-418 Continental Trade Center
Main Clifton Road Clifton
Karachi-74000, Pakistan
Tel: (92-21) 35302902 (5 Lines)
Fax: (92-21) 35302913

Audit Committee

Mr. Arungzeh Ali Naqvi
Mr. Muhammad Sohail
Mrs. Mehrunnisa Siddiqui

DIRECTORS' REPORT

The Board of Directors of your company hereby presents the un-audited financial statements of your Company for the nine months ended 31 March 2018

During the period the company registered a loss after tax of Rupees 1.1 million. Operating results for the quarter ended are not favorable as compared to the net profit after tax during the same period of last year. The reason for the Loss is lack of consultancy income and increase in the administrative expenses. However, the management is exploring regular sources of revenues to meet its current expenditure and improve its profitability.

Pakistan's overall economy is improving and it is expected that the present Government will enhance overall economic activity.

General

The Board of Directors wishes to express its pleasure and gratefulness to the shareholders for their continued support and to all the employees for their ongoing dedication and commitment to the Company.

For and on behalf of the Board

Chief Executive Officer

Karachi: 30 April 2018

AKD Capital Limited
Condensed Interim Balance Sheet
as at 31 March 18

	Note	(UnAudited) 31 Mar 2018	(Audited) 30 Jun 2017
------(Rupees)-----			
ASSETS			
NON-CURRENT ASSETS			
Property and equipment	5	1,785,141	1,964,792
Long term investments		98,000	98,000
Long term deposits		20,000	20,000
		<u>1,903,141</u>	<u>2,082,792</u>
CURRENT ASSETS			
Trade debts - considered good		7,131,944	7,687,500
Advances and prepayments	6	193,422	167,228
Investments	7	32,786,000	29,930,320
Other receivables		4,018,825	4,449,948
Advance income tax		413,031	337,899
Bank balances		679,893	1,605,313
		<u>45,223,115</u>	<u>44,178,208</u>
TOTAL ASSETS		<u><u>47,126,256</u></u>	<u><u>46,261,000</u></u>
EQUITY AND LIABILITIES			
SHARE CAPITAL AND RESERVES			
Authorized share capital			
50,000,000 (2016: 50,000,000) ordinary shares of Rupees 10 each		<u>500,000,000</u>	<u>500,000,000</u>
Issued, subscribed and paid-up share capital		25,072,733	25,072,733
Reserves		<u>17,102,821</u>	<u>15,962,882</u>
TOTAL EQUITY		<u>42,175,554</u>	<u>41,035,615</u>
NON CURRENT LIABILITIES			
Deferred taxation		297,462	297,462
CURRENT LIABILITIES			
Trade and other payables		4,362,239	4,606,038
Provision for taxation		291,000	321,885
		<u>4,653,239</u>	<u>4,927,923</u>
TOTAL LIABILITIES		<u>4,950,701</u>	<u>5,225,385</u>
Contingencies and commitments			
TOTAL EQUITY AND LIABILITIES		<u><u>47,126,254</u></u>	<u><u>46,261,000</u></u>

The annexed notes from 1 to 11 form an integral part of these financial statements.

CHIEF EXECUTIVE OFFICER

DIRECTOR

AKD Capital Limited
Condensed Interim Profit and Loss Account (Un-audited)
for the period ended 31 March 18

	Note	Period Ended		Quarter Ended	
		2018	2017	31-Mar-18	30-Mar-17
		------(Rupees)-----		------(Rupees)-----	
INCOME					
Consultancy fee		-	3,500,000	-	-
Dividend income		1,940,000	-	-	-
Gain on remeasurement of investment at fair value through profit or loss		-	-	-	-
Other income		-	43,905	-	-
		1,940,000	3,543,905	-	-
EXPENSES					
Administrative expenses		(2,814,053)	(1,673,958)	(794,159)	(364,162)
		(874,053)	1,869,947	(794,159)	(364,162)
Loss on Sale of Investment		-	-	-	-
Finance cost		(3,157)	(4,307)	(1,826)	(1,585)
		(877,210)	1,865,640	(795,985)	(365,747)
PROFIT BEFORE TAXATION		(877,210)	1,865,640	(795,985)	(365,747)
PROVISION FOR TAXATION					
Current - for the year		(291,000)	(692,191)	-	-
- prior year		41,886	-	-	-
Deferred		-	14,588	-	-
		(249,114)	(677,603)	-	-
NET PROFIT FOR THE YEAR		(1,126,324)	1,188,037	(795,985)	(365,747)
OTHER COMPREHENSIVE INCOME					
Items that will not be reclassified subsequently to profit or loss		-	-	-	-
Items that may be reclassified subsequently to profit or loss:					
Transfer of fair value loss to profit and loss account on disposal of available for sale investment		-	-	-	-
Gain/(Loss) on remeasurement of available for sale investments		2,855,680	4,361,120	5,028,480	900,160
Other comprehensive loss for the year		2,855,680	4,361,120	5,028,480	900,160
TOTAL COMPREHENSIVE (LOSS) / INCOME		1,729,356	5,549,156	4,232,495	534,413
EARNINGS PER SHARE-BASIC AND DILUTED	9	(0.45)	(0.13)	1.69	(0.15)

The annexed notes from 1 to 11 form an integral part of these financial statements.

CHIEF EXECUTIVE OFFICER

DIRECTOR

AKD Capital Limited
Condensed Interim Cash Flow Statement (Un-audited)
for the period ended 31 March 18

	31 March 2018	March 31, 2017
	------(Rupees)-----	
CASH FLOW FROM OPERATING ACTIVITIES		
Profit before taxation	(877,210)	1,865,640
Adjustment for non cash items:		
Depreciation	179,651	209,695
Impairment loss on available for sale investments	-	-
Operating cash flow before working capital changes	(697,559)	2,075,335
Changes in working capital		
(Increase) / decrease in current assets		
Trade debts	555,556	(612,500)
Advances and prepayments	(26,194)	(166,466)
Other receivables	431,123	(1,863,143)
	960,485	(2,642,108)
Increase / (decrease) in current liabilities		
Trade and other payables	(1,627,214)	1,164,559
	(666,729)	(1,477,549)
CASH FLOW FROM OPERATIONS	(1,364,288)	597,786
Income tax paid	(355,131)	(683,467)
Net cash (used in) / flow from operating activities	(1,719,419)	(85,682)
CASH FLOW FROM INVESTING ACTIVITIES		
Property and equipment purchased	-	-
Net cash used in investing activities	-	-
CASH FLOW FROM FINANCING ACTIVITIES		
Dividend paid	1,383,415	(1,176,025)
Net cash used in financing activities	1,383,415	(1,176,025)
NET (DECREASE) / INCREASE IN CASH AND CASH EQUIVALENTS	(336,004)	(1,261,707)
Cash and cash equivalents at the beginning of the year	1,605,313	2,769,344
Cash and cash equivalents at the end of the year	<u>1,269,309</u>	<u>1,507,637</u>

The annexed notes from 1 to 11 form an integral part of these financial statements.

CHIEF EXECUTIVE OFFICER

DIRECTOR

AKD Capital Limited
Statement of Changes in Equity (Un-audited)
for the period ended 31 March 18

	Reserves						Total Equity
	Share capital	Capital Reserves		Revenue Reserves		Sub total	
		Share premium	Fair value reserve on available for sale investments	General reserve	Accumulated loss		
Balance as at 30 June 2015	25,072,733	20,891,600	(2,773,567)	752,000	(7,450,888)	11,419,145	36,491,878
Final dividend for the year ended 30 June 2015	-	-	-	-	(1,013,329)	(1,013,329)	(1,013,329)
Total comprehensive income for the year							
Profit for the year	-	-	-	-	1,292,135	1,292,135	1,292,135
Other comprehensive income							
Loss on re-measurement of available for sale investment	-	-	(2,421,120)	-	-	(2,421,120)	(2,421,120)
	-	-	(2,421,120)	-	1,292,135	(1,128,985)	(1,128,985)
Balance as at 30 June 2016	25,072,733	20,891,600	(5,194,687)	752,000	(7,172,082)	9,276,831	34,349,564
Final dividend for the year ended 30 June 2016	-	-	-	-	(1,174,350)	(1,174,350)	(1,174,350)
Total comprehensive income for the year							
Profit for the year	-	-	-	-	798,801	798,801	798,801
Other comprehensive loss							
Gain on re-measurement of available for sale investment	-	-	7,061,600	-	-	7,061,600	7,061,600
	-	-	7,061,600	-	798,801	7,860,401	7,860,401
Balance as at 30 June 2017	25,072,733	20,891,600	1,866,913	752,000	(7,547,631)	15,962,882	41,035,615
Final dividend for the year ended 30 June 2017	-	-	-	-	-	-	-
Total comprehensive income for the year							
Profit for the year	-	-	-	-	(1,126,324)	(1,126,324)	(1,126,324)
Other comprehensive loss							
Gain on re-measurement of available for sale investment	-	-	2,855,680	-	-	2,855,680	2,855,680
	-	-	2,855,680	-	(1,126,324)	1,729,356	1,729,356
Balance as at 31 March 18	25,072,733	20,891,600	4,722,593	752,000	(8,673,955)	17,692,238	42,764,971

The annexed notes from 1 to 11 form an integral part of these financial statements.

CHIEF EXECUTIVE OFFICER

DIRECTOR

Notes to the Condensed Interim Financial Information (Un-Audited)
for the period ended 31 March 18

1. THE COMPANY AND ITS BUSINESS

AKD Capital Limited ("the Company") was incorporated as a Public Limited Company in the year 1936 under Companies Act 1913 (Now the Companies Act, 2017). Shares of the Company are quoted on the Pakistan Stock Exchange. The principle activity of the Company is to deal in real estate / providing consultancy, projects financing and management, investment in listed securities and to engage in leasing.

The registered office of the company is situated at 416-418, Continental Trade Center, Clifton, Karachi.

2. BASIS OF PREPARATION

These interim financial statements are un-audited and are being submitted to the shareholders in accordance with the requirements of Section Companies Ordinance, 1984. These interim financial statements are presented in condensed form in accordance with the requirements of International Accounting Standard 34 'Interim Financial Reporting'. They do not include all of the information required for full annual financial statements, and should be read in conjunction with the financial statements of the Company as at and for the year ended 30 June 2017. Comparative figures of the balance sheet are extracted from the annual financial statements for the year ended 2017 whereas comparative profit and loss account, statement of changes in equity and statement of cash flows are stated from un-audited condensed interim financial statements for the period ended 30 September 2016.

3. ACCOUNTING POLICIES

The accounting policies and method of computation followed for the preparation of this condensed interim financial information are the same as those applied in preparation of the financial statements for the year ended 30 June 2017.

- 3.1 IAS 1 (Amendment), 'Presentation of Financial Statements' The amendment clarifies that the potential settlement of a liability by the issue of equity is not relevant to its classification as current or non-current. By amending the definition of current liability, the amendment permits a liability to be classified as non-current (provided that the entity has an unconditional right to defer settlement by transfer of cash or other assets for at least 12 months after the accounting period) notwithstanding the fact that the entity could be required by the counter party to settle in shares at any time. The application of the amendment will not effect the results or net assets of the Company as it is only concerned with presentation and disclosures.

Notes to the Condensed Interim Financial Information (Un-Audited)

for the period ended 31 March 18

4. ESTIMATES

The Preparation of interim financial statements require management to make judgments, estimates and assumption that affect the application of accounting policies and reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates. In preparing this condensed interim financial information, the significant judgments made by the management in applying the Company's accounting policies and the key resources of estimation uncertainty were the same as those that applied to the financial statements as at and for the year ended 30 June 2017.

	31 March 2018	June 30, 2017
	Rupees	Rupees
5. FIXED ASSETS		
Opening Written down value	1,964,792	2,244,385
Addition	-	-
(Disposals)	-	-
Depreciation	(179,651)	(279,593)
	<u>1,785,141</u>	<u>1,964,792</u>

6. ADVANCES AND SHORT TERM DEPOSITS

Advance to employees - considered good	120,007	165,007
Prepayments	73,415	2,221
	<u>193,422</u>	<u>167,228</u>

7. AVAILABLE FOR SALE

31 March 2018	30 June 2017			
	Qty.			
776,000	776,000	Javedan corporation limited - cost	28,063,407	28,063,407
		Effect of re-measurement to fair value	4,722,593	1,866,913
			<u>32,786,000</u>	<u>29,930,320</u>

Notes to the Condensed Interim Financial Information (Un-Audited)
for the period ended 31 March 18

8. CONTINGENCIES AND COMMITMENTS

8.1 CONTINGENCIES

There were no contingencies at reporting date.

8.2 COMMITMENTS

There have been no commitments as at the period

9. EARNING / (LOSS) PER SHARE - BASIC AND DILUTED

There is no dilutive effects in the basic earning per share of the Company which is based on:

	31 March 2018 Rupees	June 30, 2017 Rupees
Loss for the period	(1,126,324)	798,801
Weighted average number of ordinary shares	2,507,471	2,507,471
Earning per share	(0.45)	0.32

10. DATE OF AUTHORIZATION

This condensed interim financial information was authorized for issue on 30 April 2018 by the Board of Directors of the Company.

11. GENERAL

Figure have been rounded off to the nearest rupee.

CHIEF EXECUTIVE OFFICER

DIRECTOR



سرمایہ کاری سمجھداری کے ساتھ